

CITY COUNCIL MEETING MINUTES

6:00 PM – February 18, 2019
Cadillac City Hall – 200 N. Lake St. - Cadillac, Michigan 49601

CALL TO ORDER

Mayor Filkins called the City Council meeting to order at approximately 6:00 pm.

PLEDGE OF ALLEGIANCE

ROLL CALL

Council Present: Schippers, Spoelman, King, Mayor Filkins
Council Absent: Engels
Staff Present: Peccia, Dietlin, Ottjepka, Wallace, Homier, Wasson

APPROVAL OF AGENDA

Peccia requested the agenda be amended to add a discussion regarding a negotiation session connected with a collective bargaining agreement to the Closed Session.

2019-026 Approve agenda as amended.

Motion was made by King and supported by Schippers to approve the agenda as amended.

Motion unanimously approved.

PUBLIC COMMENTS

There were no public comments.

CONSENT AGENDA

2019-027 Approve consent agenda as presented.

Motion was made by Schippers and supported by Spoelman to approve the consent agenda as presented.

Motion unanimously approved.

PUBLIC HEARINGS

- A. Public hearing to consider adoption of Resolution Approving Combined Brownfield Plan for Mitchell Bentley Redevelopment.

Mac McClelland, Otwell Mawby Brownfield Authority Consultant, provided an overview of the Combined Brownfield Plan for the Mitchell Bentley property. He stated the Combined Brownfield Plan captures future investments and taxes on the property to repay the loan and pay for any eligible activities on the property. He noted parcels have been combined on this project to include the Mitchell Bentley property, the Crandell property, the Auto World

property, and the former Western Concrete property. He stated Consumers Energy has proposed the development of a Solar Garden on the southern portion of the Mitchell Bentley property. He noted funds could not be obtained from the MDEQ without private development.

Mayor Filkins opened the public hearing.

Phil Potvin, representing Western Concrete, stated he was not notified that the Western Concrete property was included in the Combined Brownfield Plan.

Mayor Filkins closed the public hearing.

2019-028 Approve Combined Brownfield Plan for Mitchell Bentley Redevelopment.

Motion was made by King and supported by Schippers to adopt the Resolution Approving Combined Brownfield Plan for Mitchell Bentley Redevelopment.

Motion unanimously approved.

COMMUNITY SPOTLIGHT

A. 2019 Forestry Reliability Maintenance Work – Joe Shanks, Consumers Energy.

Doug DeYoung, Community Affairs Manager, noted there is tree work planned this year beginning in the spring. He stated a \$2,500 tree grant was provided to the City in January 2019 for the purpose of planting trees within the City limits.

Joe Shanks, Forester, presented information on the following topics:

- Reasons for Tree Work
- Property Owner Notification
- Marking on Trees
- Debris Clean-up
- Planned Work Areas

APPOINTMENTS

A. Recommendation regarding reappointment to the Board of Review.

2019-029 Approve reappointment to the Board of Review.

Motion was made by Spoelman and supported by Schippers to approve the reappointment of Larry Butler to the Board of Review for a 2-year term to expire on March 2, 2021.

Motion unanimously approved.

B. Recommendation regarding reappointment to the Board of Review.

Schippers noted Barb Johns has been serving on the Board of Review since 1998.

2019-030 Approve reappointment to the Board of Review.

Motion was made by Schippers and supported by King to approve the reappointment of Barb Johns to the Board of Review for a 2-year term to expire on March 1, 2021.

Motion unanimously approved.

C. Recommendation regarding reappointment to the Board of Review.

2019-031 Approve reappointment to the Board of Review.

Motion was made by Schippers and supported by Spoelman to approve the reappointment of Kathleen Williams to the Board of Review for a 2-year term to expire on March 2, 2021.

Motion unanimously approved.

CITY MANAGER'S REPORT

A. Consumers Energy Solar Gardens Agreement.

Peccia noted this is an opportunity to clean-up the Mitchell Bentley site and to have a renewable energy facility constructed in the community. He expressed his gratitude for everyone involved in this project including:

- City Council
- Cadillac Brownfield Authority
- Cadillac Industrial Fund
- Mike Hamner, Cadillac Industrial Fund
- Eric Baker, President and CEO of Wolverine Power Cooperative
- Brian Warner, Member of the Cadillac Brownfield Authority and retired Environmental Manager with Wolverine Power
- Sam Hogg, Business Director with Wolverine Power and Spartan Renewable Energy
- Jeff Myrom, Director of Consumers Renewable Energy & Electric Vehicle Customer Products and Clean Energy Products
- Rhonda Welcher, Consumers Solar Gardens Program Manager
- Doug DeYoung, Consumers Energy Community Affairs Manager
- Mac McClelland, Otwell Mawby Brownfield Authority Consultant
- Roman Wilson of Fishbeck, Thompson, Carr and Huber

Jeff Myrom, Consumers Energy, provided a brief overview of the Solar Gardens project. (see attached) He stated it is anticipated the Solar Gardens will be operational by the summer of 2020.

Spoelman asked about the easement area being planted in pollinator habitat.

Jeff Myrom stated the easement area will be planted in pollinator habitat for sustainable low maintenance. He noted it will likely be a wildflower type garden and they will be open to a beekeeping area in the future.

Mayor Filkins thanked Consumers Energy and stated the City is very excited to have this project.

Spoelman stated she appreciates the work everyone has done on this project.

2019-032 Approve Consumers Energy Solar Gardens Agreement.

Motion was made by King and supported by Schippers to approve the Consumers Energy Solar Gardens Agreement.

Motion unanimously approved.

B. Bids and recommendation regarding Water Well Cleaning.

Peccia stated the FY2019 budget for the Water and Sewer Fund includes an appropriation of \$25,000 for well cleaning and related repairs. He noted the recommendation is to award the project to the lowest bidder, Peerless Midwest, in the amount of \$17,500.

2019-033 Award Water Well Cleaning project.

Motion was made by Spoelman and supported by King to award the Water Well Cleaning project to Peerless Midwest in the amount of \$17,500 and to authorize the Utilities Department to spend up to the appropriated budget amount of \$25,000 for any necessary repairs.

Motion unanimously approved.

C. Bids and recommendation regarding Peristaltic Chemical Metering Pump.

Peccia stated the FY2019 budget for the Water and Sewer Fund includes an appropriation of \$10,000 for the replacement of three (3) chemical metering pumps for use in the wastewater treatment plant. He noted the recommendation is to award the project to the lowest bidder, Mattoon & Lee, in the amount of \$9,300.

2019-034 Award purchase of Peristaltic Chemical Metering Pumps.

Motion was made by Schippers and supported by Spoelman to award the purchase of Peristaltic Metering Pumps to Mattoon & Lee in the amount of \$9,300.

Motion unanimously approved.

D. Hardship (Poverty) Exemption Policy.

Peccia stated Public Act 390 of 1994 states that the governing body of the local assessing unit shall determine and make available to the public the policy and guidelines the local assessing unit uses for granting hardship (poverty) exemptions.

Spoelman asked if the income for the poverty guidelines is updated on an annual basis.

Peccia confirmed the income is updated on an annual basis.

2019-035 Approve updated Hardship (Poverty) Exemption Policy.

Motion was made by Spoelman and supported by King to approve the updated Hardship (Poverty) Exemption Policy utilizing the 2019 Health and Human Services Poverty Guidelines.

Motion unanimously approved.

E. State of the City Presentation.

City Manager Peccia provided a State of the City 2018 presentation.

Peccia noted the presentation can be viewed on the City's website at www.cadillac-mi.net.

PUBLIC COMMENTS

There were no public comments.

GOOD OF THE ORDER

Spoelman complimented City Manager Peccia for the State of the City presentation. She noted it is good to take the time to reflect on our achievements.

Peccia thanked members of his staff for their assistance in preparing the presentation.

Schippers noted the Mayor's Youth Council will be meeting at 4:00 pm on February 20, 2019. She encouraged high school age youth in the Cadillac area to join the Mayor's Youth Council.

CLOSED SESSION

Adjourn to closed session for a negotiation session connected with a collective bargaining agreement and to consult with the City Attorney regarding trial or settlement strategy in connection with Wexford County Circuit Court Consolidated Case Nos. 13-24803-CH and 17-27610-CZ, TeriDee LLC et al. v Clam Lake Township and Haring Charter Township v City of Cadillac and HOP Family, LLC and City of Cadillac v Haring Charter Township and Clam Lake Township; and Heidi Hodek, as Next Friend of John Doe, a minor v City of Cadillac and Thomas Wade, Wexford County Circuit Court Case No. 18-28116-NO; and City of Cadillac v Lake Mitchell Sewer Authority, State of Michigan 28th Judicial Circuit Court, Case #2018-28350-CZ.

2019-036 Adjourn to closed session.

Motion was made by Spoelman and supported by Schippers to adjourn to closed session for a negotiation session connected with a collective bargaining agreement and to consult with the City Attorney regarding trial or settlement strategy in connection with Wexford County Circuit Court Consolidated Case Nos. 13-24803-CH and 17-27610-CZ, TeriDee LLC et al. v Clam Lake Township and Haring Charter Township v City of Cadillac and HOP Family, LLC and City of Cadillac v Haring Charter Township and Clam Lake Township; and Heidi Hodek, as Next Friend of John Doe, a minor v City of Cadillac and Thomas Wade, Wexford County Circuit Court Case No. 18-28116-NO; and City of Cadillac v Lake Mitchell Sewer Authority, State of Michigan 28th Judicial Circuit Court, Case #2018-28350-CZ. Invite Jeff Dietlin, Director of Utilities, and Adam Ottjepka, Director of Public Safety, accordingly.

Motion unanimously approved.

2019-037 Return to open session.

Motion was made by Spoelman and supported by King to return to open session.

Motion unanimously approved.

Peccia asked Council to consider a motion to approve Letter of Agreement #2 - Addendum to the current International Association of Fire Fighters (IAFF) Collective Bargaining Agreement. He noted the purpose of this amendment is to address the eligibility requirements for internal testing for the position of Captain as discussed.

2019-038 Approve Addendum to IAFF Collective Bargaining Agreement.

Motion was made by Spoelman and supported by King to accept the Letter of Agreement with the IAFF as presented.

Motion unanimously approved.

ADJOURNMENT

Respectfully submitted,

Carla J. Filkins, Mayor

Sandra L. Wasson, City Clerk

City of Cadillac & Consumers Energy

Solar Proposal Discussion

February 18, 2019

Consumers Energy

Count on Us[®]



- Site Overview
- Solar Gardens Model
- Proposed Subscription
- Preliminary Schedule



CADILLAC BROWNFIELD SITE OVERVIEW

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■ Concept:

- Rectangular easement on south side of property
- 300-500 kW estimated for \$500K investment
- Trees and some rubble must be removed and fences replaced by solar installer.
- Solar placed south of buildings/rubble
- South of tracks used for Consumers access and signage
- Entire easement area planted in pollinator habitat for sustainable low maintenance.
- RFP result from solar installers must be economic and MPSC approval received for inclusion in Solar Gardens program.

- **Similar to WMU/GVSU agreements**
 - Permanent easement
 - Anchor tenant subscriber for life of facility
 - Multiple entities subscribe to the remainder in 500W solar blocks
 - Subscribers receive monthly bill credits for solar energy & capacity from each solar block



- **City of Cadillac anchor tenant subscription:**
 1. 111 blocks @ \$18/month under 7-year plan = \$1,998/month.
 - City decides which accounts are subscribed (reference list at end of presentation).
 - Total payments of \$167,832 over the 7-year plan (\$1,512 total paid per block x 111 blocks).
 2. Easement payment of \$29K converted to 26 up-front blocks valued at \$1,154 each.
 - Lowers City's remaining subscription commitment to 85 blocks under 7-year plan = \$1,530/month to applicable City electric accounts.
 - Total payments of \$128,520 over the 7-year plan
 3. Allow City to crowdsource up-front block subscriptions (\$1,154 each) for all but 26 blocks per #2 above via commercial & industrial subscribers.
 - Could lower monthly City subscription payments to zero if at least 85 up-front blocks are subscribed by commercial & industrial entities.
 - Builds community spirit in the redevelopment.

SOLAR GARDENS CREDIT ESTIMATES

	Generation Period											
	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
2018	\$1.80	\$2.03	\$5.62	\$6.00	\$6.60	\$6.37	\$7.27	\$6.30	\$5.40	\$3.45	\$1.27	
2017	\$1.05	\$3.23	\$4.20	\$5.40	\$7.04	\$7.35	\$7.50	\$6.45	\$6.30	\$3.75	\$2.70	\$0.90
2016				\$4.95	\$7.11	\$7.04	\$6.97	\$5.78	\$5.47	\$3.97	\$3.00	\$0.68
Average Monthly Bill Credit Estimate per Block	\$1.43	\$2.63	\$4.91	\$5.45	\$6.92	\$6.92	\$7.25	\$6.18	\$5.72	\$3.72	\$2.32	\$0.79
Percentage of Annual Bill Credit	2.6%	4.8%	9.1%	10.0%	12.8%	12.8%	13.4%	11.4%	10.6%	6.9%	4.3%	1.5%
Monthly Estimate of 111 Blocks (values will fluctuate)	\$158	\$292	\$545	\$605	\$768	\$768	\$804	\$686	\$635	\$413	\$258	\$88

\$54.24	Average Annual Bill Credit per Block
100.0%	Total Percentage

\$6,020	Total Per Year Estimate
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Credits for energy & capacity are variable & paid for the full 25-year life of program.